18 Mar 2026 18:21:03 ET | 22 pages

Tencent Holdings (0700.HK)

Resilient Core & Strong CF Support AI Transformation Investment

CITI'S TAKE

We reiterate our Buy rating on Tencent with HK$787 TP and top-pick status. While Tencent may not be a first mover in the AI race, it has a proven history of entering markets later than industry incumbents and ultimately emerging as a leader, as demonstrated in gaming, social networking and payment. While new AI investment is expected to more than double in 2026, resulting in possible slower profit growth than revs growth, we expect this to be short-term and believe over time the increased profits from its resilient core business will offset the AI spend that enable Tencent to resume delivering profit growing faster than revs. We believe upcoming release of HY3.0 model and the new agentic AI in WeChat will enhance Tencent's positioning to ride on the "OpenClaw" moment, which has fostered a proliferation of AI agents that operating/executing through a decentralized network ecosystem similar to WeChat's Mini Program.

AI investment & near-term profit growth- Mgmt guided 2026 investment in new AI products to more than double from Rmb18bn (which we reconcile ~4% of total cost and expenses) in 2025 and view this cost as more front-loaded investment where overtime will translate to future monetization and become profitable. Mgmt does not rule out the possibility that revs growth is likely to be grow faster than profit (we interpret as short-term) though also highlighted that increased profits from existing business should more than cover incremental investment in these new AI products. We model 2026 revs/GP/adj. OP to +8.6%/9.3%/4.3% yoy, reflecting higher AI expenses and COGS despite higher GPM from VAS and ads.

Resilient core strength – Mgmt sounded confident that its key franchises like communication tools, games, and fintech remain resilient to the threat of AI due to its network effect, regulatory environment, and games benefitting from AI.

New AI products & model and AI-enhanced core businesses– While Tencent might not be a first mover in LLM, it was early in adopting and applying AI into its core gaming and marketing services business that have proven to support reaccelerated growth and faster-than-industry growth in games and ad revs past 1-2 years. New HY3.0 is expected to be released in April and next-gen agentic services in Weixin is also under-development, which could serve as important catalyst in coming months. All existing businesses and new AI products should also benefit from the enhanced iteration and model quality of HY3.0.

Earnings Summary

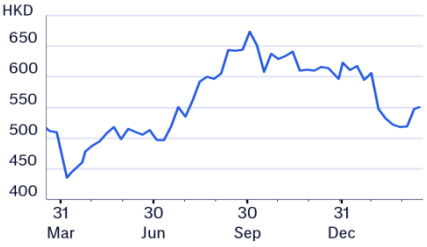
Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	222,703	23.672	44.3	20.4	4.6	25.0	0.9
2025A	259,626	28.086	18.6	17.2	3.8	24.4	1.1
2026E	281,464	30.479	8.5	15.9	3.7	23.9	1.1
2027E	315,624	34.185	12.2	14.2	3.4	25.4	1.2
2028E	346,716	37.561	9.9	12.9	3.2	26.2	1.2

Source: Powered by dataCentral

Buy

Price (18 Mar 26 16:10)	HK$550.50
Target price	HK$787.00↑
from HK$783.00	
Expected share price return	43.0%
Expected dividend yield	1.1%
Expected total return	44.1%
Market Cap	HK$5,013,049M
	US$639,726M

Price Performance (RIC: 0700.HK, BB: 700 HK)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

0700.HK: Fiscal year end 31-Dec

Price: HK$550.50; TP: HK$787.00; Market Cap: HK$5,013,049m; Recomm: Buy

Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E
Sales revenue	660,257	751,766	816,518	889,082	961,469
Cost of sales	-311,011	-329,173	-354,550	-379,237	-406,438
Gross profit	349,246	422,593	461,968	509,845	555,031
Gross Margin (%)	52.9	56.2	56.6	57.3	57.7
EBITDA (Adj)	**287,736**	**339,449**	**357,311**	**447,834**	**501,053**
EBITDA Margin (Adj) (%)	43.6	45.2	43.8	50.4	52.1
Depreciation	-27,332	-32,799	-42,622	-92,020	-109,463
Amortisation	-28,881	-33,229	-28,415	-30,673	-33,171
EBIT (Adj)	**237,811**	**280,656**	**292,650**	**331,516**	**364,795**
EBIT Margin (Adj) (%)	36.0	37.3	35.8	37.3	37.9
Net interest	4,023	1,779	3,831	6,547	11,266
Associates	29,363	33,908	40,990	41,286	41,558
Non-Op/Except/Other Adj	-29,712	-39,094	-35,942	-37,710	-38,859
Pre-tax profit	**241,485**	**277,249**	**301,529**	**341,639**	**378,760**
Tax	-45,018	-47,448	-60,306	-68,328	-75,752
Extraord./Min.Int./Pref.div.	-2,394	-4,959	-3,231	-3,091	-2,951
Reported net profit	**194,073**	**224,842**	**237,992**	**270,220**	**300,057**
Net Margin (%)	29.4	29.9	29.1	30.4	31.2
Core NPAT	222,703	259,626	281,464	315,624	346,716

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS (Rmb)	20.629	24.323	25.771	29.268	32.506
Core EPS (Rmb)	23.672	28.086	30.479	34.185	37.561
DPS (Rmb)	4.500	5.300	5.388	5.671	5.967
CFPS (Rmb)	27.479	32.784	34.149	42.865	48.364
FCFPS (Rmb)	20.097	24.777	23.426	31.418	36.088
BVPS (Rmb)	105.033	127.039	132.341	141.815	150.535
Wtd avg ord shares (m)	9,269	9,085	9,055	9,053	9,051
Wtd avg diluted shares (m)	9,408	9,244	9,235	9,233	9,231

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	8.4	13.9	8.6	8.9	8.1
EBIT (Adj) (%)	23.9	18.0	4.3	13.3	10.0
Core NPAT (%)	41.2	16.6	8.4	12.1	9.9
Core EPS (%)	44.3	18.6	8.5	12.2	9.9

Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	132,519	141,041	134,259	171,616	210,554
Accounts receivables	48,203	49,930	58,163	63,332	68,488
Inventory	440	530	817	889	961
Net fixed & other tangibles	282,037	322,741	343,990	356,609	360,103
Goodwill & intangibles	196,127	205,999	202,584	196,911	188,740
Financial & other assets	1,121,669	1,318,745	1,378,857	1,450,342	1,534,343
Total assets	**1,780,995**	**2,038,986**	**2,118,669**	**2,239,699**	**2,363,190**
Accounts payable	118,712	121,127	131,135	138,188	148,099
Short-term debt	61,508	53,160	55,160	57,160	59,160
Long-term debt	146,521	208,369	210,369	212,369	214,369
Provisions & other liab	400,358	415,265	433,549	454,931	482,921
Total liabilities	**727,099**	**797,921**	**830,213**	**862,648**	**904,549**
Shareholders' equity	973,548	1,154,152	1,198,313	1,283,816	1,362,455
Minority interests	80,348	86,913	90,144	93,235	96,186
Total equity	**1,053,896**	**1,241,065**	**1,288,457**	**1,377,051**	**1,458,641**
Net debt (Adj)	**75,510**	**120,488**	**131,270**	**97,913**	**62,975**
Net debt to equity (Adj) (%)	7.2	9.7	10.2	7.1	4.3

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	20.4	17.2	15.9	14.2	12.9
PB (x)	4.6	3.8	3.7	3.4	3.2
EV/EBITDA (x)	13.2	11.0	10.4	8.2	7.3
FCF yield (%)	4.2	5.1	4.8	6.5	7.5
Dividend yield (%)	0.9	1.1	1.1	1.2	1.2
Payout ratio (%)	19	19	18	17	16
ROE (%)	21.8	21.1	20.2	21.8	22.7

Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBITDA	264,312	307,590	327,745	416,499	468,570
Working capital	21,881	15,499	9,592	10,890	18,980
Other	-27,672	-20,037	-21,982	-31,631	-41,111
Operating cashflow	**258,521**	**303,052**	**315,355**	**395,759**	**446,440**
Capex	-69,451	-74,018	-99,021	-105,689	-113,324
Net acq/disposals	-4,941	-46,976	3,599	4,159	4,774
Other	-47,795	-84,738	-96,765	-113,176	-132,692
Investing cashflow	**-122,187**	**-205,732**	**-192,188**	**-214,706**	**-241,242**
Dividends paid	-28,859	-41,711	-48,151	-48,788	-51,342
Financing cashflow	**-176,494**	**-87,155**	**-127,978**	**-141,329**	**-163,422**
Net change in cash	**-39,801**	**8,522**	**-6,782**	**37,358**	**38,937**
Free cashflow to s/holders	**189,070**	**229,034**	**216,334**	**290,070**	**333,116**

For definitions of the items in this table, please click here.

Key Takeaways from 4Q25 Result Call

4Q25 recap; revs/GP/OP +13%/19%/17% yoy

4Q25 total revs were Rmb194.4bn (+13% yoy, +1% q/q) and +1.3%/+0.2% ahead of Citi/BBG consensus of Rmb191.88bn/Rmb194.07bn.

- **VAS** +14% yoy to Rmb90bn, vs our Rmb88.0bn. **Total games revs.** of Rmb59.3bn beat our Rmb56.7bn, with domestic games at Rmb38.2bn (+15% yoy) and international games at Rmb21.1bn (+32% yoy and +31% constant currency) vs our Rmb37.8bn/Rmb18.9bn. **Community/platform revs.** of Rmb30.6bn (+3% yoy) vs Citi's Rmb31.3bn. Total deferred revs. were +6% yoy and -11% qoq to Rmb112.5bn, with current deferred revs. +10% yoy and -10% qoq. Total VAS sub was +2% yoy to 267mn.
- **Online ad** revs. +17% yoy to Rmb41.1bn, in line with Citi's Rmb41.0bn.
- **Fintech and business services** +8% yoy to Rmb60.8bn beat our Rmb59.8bn, and business Services revenues accelerated at 22% yoy.

Non-IFRS NP of Rmb64.7bn (+17% yoy, -8% qoq) largely in line with Citi's/consensus of Rmb64.8bn/Rmb64.9bn, driven by higher revenue and GP, lower G&A offset by higher S&M expenses. Non-IFRS EPS was Rmb6.966 vs. our/consensus of Rmb7.015/Rmb7.000. **Total capex** came in at Rmb19.6bn, +51% qoq and -46% yoy.

Tencent's overall AI strategy

Resilient franchise in age of AI

Management believes there are several criteria for product and service resilience to AI, including network effects, depth and value added along the supply chain, regulatory environment and license requirements, scarcity and unique resource such as physical property or intellectual property, low take rate compared to value provided or switching cost and access to private and public data.

Tencent believes its key franchise possess a lot of resilience criteria and remains highly defensible. For communications, Tencent saw great network effect with access to internal data. For games, Tencent operates multi-player games with massive network effect. Meanwhile, management believes AI is currently not capable of creating innovative gameplay-centric games due to difficulty in in-game balance and generate consistent outcome. For fintech, since it is heavily regulated and licensed, in partnership with partner banks, this may also create resilience for Tencent's fintech products and services.

Strengthening core business with AI

During early stage, Tencent's priority for AI is to be a pioneer in using AI to reinforce its core business. Tencent believes in each core business, the company is the leader domestically and globally in leveraging AI to strengthen and accelerate growth. Its use of AI is showing positive initial results with increasing user engagement and revenue trends:

- **Games:** generative AI has accelerated in-game content production speed and scale. Furthermore, multimodal capabilities also enable virtual teammates in PVP games to provide coaching and support, and LLMs to power realistic NPCs

in PVE games, while generative AI also facilitates new user acquisition and existing user retention.

- **Marketing services:** Tencent has operated scaled-up foundation model for matching relevant ads with receptive users that enables higher ad conversions, resulting in better user experience at equivalent ad load especially on Video Accounts. Generative AI facilitates advertisers to create more ads, more efficiently and with greater user relevance. AI also enabled automated ad targeting, bidding and placement with AIM+ solution to improve advertiser return on marketing investments.

- **Video Accounts:** Through long-sequence large model, this enhances intelligence of content recommendation, boosting user growth, user engagement and content distribution. Currently Video Accounts ranked #2 by short video service DAU in China with fastest growth rate by total time spent.

- **Digital content:** AI helps improve production efficiency such as automated frame generation for anime, while provide intelligent recommendation and efficient user discovery for users, videos, and literature.

- **Enterprise SaaS:** Tencent provides useful AI tools such as AI Delegate for generating meeting minutes in Tencent Meeting and intelligent summaries of customer service history in WeCom. Currently Tencent Meeting represents the top video conference software by user time and revenue in China and WeCom represents #1 CRM software by revenues in China.

- **Fintech:** Management believes lightweight fintech AI models enhance credit scoring process to determine loan approval more intelligently and facilitate fraud detection. Tencent's lending products have demonstrated better credit quality and lower non-performing loan rate in 2025.

Overall, management believes ecosystem and cross-platform capabilities represents the core strength for Tencent by adopting its AI strategies together with connection of product and orchestration capabilities.

New AI capabilities and product development

Leveraging its strengthened core businesses, Tencent continues to add development of new AI capabilities and products to its priorities which may unlock new opportunities and further differentiate its core business:

- **Foundation models:** Tencent adopts a combination of strong foundation models with configuring for core use cases such as chat bot, coding, multimodal and agentic applications. While Tencent is not the first mover in LLM, the company has recently revamped team and processes, improved data quality and rebuilt infrastructure for pre-training and reinforcement learning which enable Tencent to iterate more intelligent models more rapidly. Tencent also shared that HY 3.0 is now in internal testing aiming to provide substantial improvement over HY 2.0. Tencent will progressively make HY 3.0 available externally starting from Apr. Management also believes they are an early mover in multimodalities and an industry leader in areas such as 3D, text to image, and world models leveraging proprietary data and abundant use cases.

- **Yuanbao AI chatbot:** Yuanbao has served as information aggregators, which is currently most overlapped with search use cases. Yuanbao has progressively

upgraded its capabilities and seeks user breakout opportunities for its own AI chat app. Yuanbao also rapidly iterates user experience through better search integration, improved speech recognition, easier access to multimodal capabilities. With HY 3.0 deployment, the core experience of Yuanbao will be further improved.

- **Weixin AI:** Tencent will embed AI across the Weixin ecosystem to enhance user experience, spanning social interactions, information retrieval and analysis, content consumption, merchandise recommendations, and customer service. Weixin AI aims to become the next generation agentic services in Weixin to connect users with extensive Mini Program content, social and payment ecosystem. Weixin AI will also benefit from HY's increasing intelligence in future as well, with agent addition to Weixin to boost ecosystem activity and generate incremental revenue itself.

- **Productivity AI:** Tencent has introduced a suite of autonomous AI agent products and tools such as WorkBuddy and Qclaw, along with upgraded agent-related infrastructure including Tencent Cloud Lighthouse and AI Agent Security Sandbox to retrieve information, coordinate workflow and perform actions across applications. Such tools will transform AI from passive chatbots to active agents to translate intelligence directly into deliverables through autonomous workflows and continuous task execution. These tools will also combine with Tencent's leading communication platforms to enable users to command multiple agents directly from the chat interface and leverage the diverse content ecosystem and extensive merchant and developer network. Users can conveniently invoke skills from SkillHub and leverage security infrastructure from Tencent Cloud.

  – Management believes **Claw** likely represents an **exciting concept** to illustrate a decentralized model for how AI works. This also represents continued evolvement in internet era from browser, search engine to mobile applications and potentially AI agents in future. With differentiating models specializing in different kinds of activities such as chatbots, coding and multimodal, Claw may potentially open up a completely decentralized regime with different companies providing their own Claw based on all kinds of different models supported by cloud infrastructure at unique value system. Management saw a lot of opportunities in building the products to cater to people's needs and win their interest.

With Tencent's **unique value proposition,** management believes the company is highly suitable for the agentic adoption and deployment of Claw. For instance, Tencent has the capabilities across PC, mobile, and cloud with several centralized apps and decentralized ecosystems, especially the Mini Program ecosystem, which may be further empowered with Tencent's agent capabilities. Management also believes there won't become a monopoly situation for Claw competition as consumers may need to pick competing products based on price-performance curve.

Commitment in AI strategic investments

Total costs and expenses for new AI products reached Rmb7bn in 4Q25 and Rmb18bn in 2025. These include talent, data, training for HY, inference and marketing for Yuanbao while exclude AI initiatives supporting existing products and services and purchase of GPU for external use in Tencent Cloud.

Management highlighted that they have been staffing up quite aggressively to source talents from the world and China. For the Hunyuan team, management will continue to make selective hires and build the right culture for the team.

Tencent also expects to **double the investments in new AI products in 2026**. With increased profit from existing business, management expects this should more than cover incremental investments in these new AI products. During the transformational period, management believe these substantial front-loaded investments are similar as capex or investments in affiliates in nature and should be excluded or viewed separately from the profit generated by the existing biz.

Management emphasized that it is possible for its revenue to grow faster than profit in 2026 due to stepped up investments in AI products and positive ROI on both existing businesses and new AI products. Management is comfortable with such outcome as these new AI products represent an opportunity to expand its footprint and deliver new values for users.

Tencent Cloud

Evergreen business through strategic investment

Tencent has started to focus on high quality cloud revenue growth in 2022, and restructure to focus on higher margin business, leading to breakeven for Tencent Cloud in 2024. During 2025, Tencent Cloud revenue grew at an improving rate and delivered Rmb5bn adjusted operating profit despite constrained availability of GPUs and decision to prioritize internal AI services.

With a better pricing environment, especially for memory and CPU, strong AI demand and overseas expansion, management expects external cloud service revenues to grow robustly in 2026, driving Tencent Cloud to generate sustainable revenue stream and improving margin trajectory as an evergreen business.

With demand surge in AI compute, management expects higher demand not only on GPU, DRAM and HBM, but also CPU, regular RAM, SSD, hard disk drive during agentic tool and software execution. With suppliers prioritizing bigger and more regular customers during resource constraints, Tencent Cloud as a hyperscaler could secure steady supplies for these materials. When the demand picks-up, the industry as a whole will likely have no choice but to pass through higher prices.

That said, Tencent will continue to focus on deliver more value through enrichment and bundling into PaaS or SaaS that may bring best pricing and higher margins.

Online Games

Domestic games +15% yoy and international games +32% yoy

In 4Q25, domestic game revenues grew by 15% yoy to Rmb38.2bn, primarily driven by *Delta Force* contribution, increased revenues from *Valorant* franchise and incremental revenue contribution from *Wuthering Waves*.

In 4Q25, international game revenues grew by 32% yoy to Rmb21.1bn or +31% on constant currency basis, mainly due to higher revenues from Supercell's games and *PUBG Mobile* as well as incremental revenue contribution from *Wuthering Waves*.

Mgmt does not believe AI will be disruptive on video gaming

Management highlighted that during Game Developers Conference (GDC) last week, the majority of presentations focused on how to use AI to upgrade content within existing games to accelerate content creation and improve content quality within games. However, there seems to be capability to create games completely from scratch using AI. Moreover, Tencent's Interactive Entertainment Group (IEG) has actively participated in AI deployment in terms of graphics, gameplay, and user companionship.

With a potential of oversupply of new game offerings, Tencent would rather focus on making, extending, and rendering evergreen titles to achieve optimal balance in game development and publishing strategy.

Overall, with AI potentially brining more leisure time for consumers, online gaming sector is likely a beneficiary from the demand side. With the availability of new AI tools to new developers, this may favor developers with better use of these tools to increase production amount and extend game life cycles which is already happening currently. AI likely speed up innovation and iterate more new experience into existing and new games.

Tailwind on app store service fee changes

With recent service fee reduction by Apple's iOS platform in China, management is happy to see the actual development that has taken effect in the last few days. With a higher mix of self-developed and self-published games within online game revenues, Tencent may enjoy a better flow-through with revenue share based on gross revenue. That said, Tencent may also reinvest such incremental profit stream into new AI product development. Along with the service fee reduction, management saw the importance to effectively offer developers at the same service fee structure equivalent with or close to elsewhere in the world. Therefore, management believes it would become an inevitable downward trend in China and rest of world.

Marketing Services updates

Marketing Services recorded growth of 17% year-on-year in the fourth quarter to RMB 41 billion, primarily driven by significant AI-powered upgrades to its adtech. The advertising business saw rapid growth from the Internet Services and Local Services categories. This was complemented by increased marketing spend from Mini Game and Mini Drama studios, driven by higher consumer engagement. However, there was slower performance in the eCommerce category, where platforms temporarily shifted budgets to subsidies, and in the Financial Services category, which was impacted by policy changes affecting online lending.

Fintech and Business Services business updates

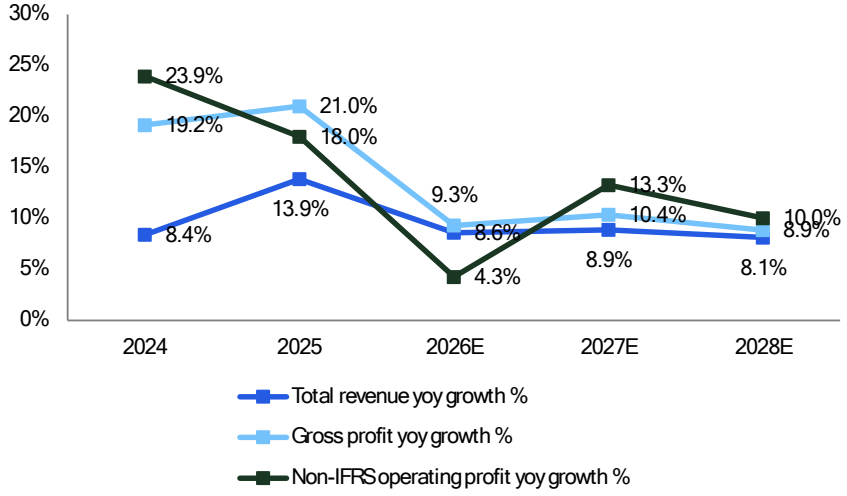
The FinTech and Business Services segment delivered revenue growing 8% year-on-year to RMB 61 billion in 4Q25, primarily driven by strong results in Wealth Management, and Commercial Payment Services, which maintained positive transaction volume growth. Business Services revenue growth accelerated to 22% year-on-year, reflecting higher cloud services revenues across domestic and international markets, including revenues for AI-related services, as well as higher eCommerce technology service fees, mainly arising from growth in Mini Shops GMV.

Estimate Revisions

We adjust our 2026-27E revs/earnings by +0.4%/-3.1%, +1.0%/-1.3%, respectively to reflect latest results, enhanced AI investments, gaming grossing momentum, ad-tech enhanced marketing services revs, fintech and business services outlook.

For 1Q26, we model domestic games to grow +11% yoy and int'l games to +9% yoy to Rmb47.6bn/Rmb18.1bn. We model total ad revs to +17.0% yoy and FBS to +8.5% yoy. For 2026, we model domestic games/int' games to +8.7%/7.4% yoy to Rmb178.6bn/Rmb83.0bn. We model total ad revs to +16.8% yoy and FBS to +8.6% yoy and forecast adj. NP to +8.4% yoy to Rmb281.5bn or 34.5% margin.

Figure 1. Revenue, gross profit and non-IFRS operating profit yoy growth of Tencent



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Source: Company Reports and Citi Research Estimates

Figure 2. Tencent - Estimate revisions summary

	Net revenues (Rmb m)			Non- GAAP Net Profit (Rmb m)			Non-GAAP Diluted EPS (Rmb)		
Rmb (mn except per share data)	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg
1Q26E	196,605	196,981	0.2%	71,065	67,608	-4.9%	7.70	7.32	-4.9%
2Q26E	202,388	200,961	-0.7%	72,602	69,959	-3.6%	7.87	7.58	-3.7%
2026E	**813,539**	**816,518**	**0.4%**	**290,413**	**281,464**	**-3.1%**	**31.46**	**30.48**	**-3.1%**
2027E	**880,011**	**889,082**	**1.0%**	**319,666**	**315,624**	**-1.3%**	**34.64**	**34.19**	**-1.3%**
2028E	**na**	**961,469**	**na**	**na**	**346,716**	**na**	**na**	**37.56**	**na**

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Source: Citi Research Estimates

Figure 3. Tencent – Revenue Revisions

	1Q26E			2Q26E			2026E			2027E			2028E		
Rmb (mn)	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg
Total online games	**65,284**	**65,713**	**0.7%**	**64,735**	**64,461**	**-0.4%**	**257,221**	**260,584**	**1.3%**	**275,877**	**282,344**	**2.3%**	**na**	**304,113**	**na**
yoy growth rate %	***9.7%***	***10.4%***		***9.3%***	***8.9%***		***7.6%***	***7.9%***		***7.3%***	***8.4%***		***na***	***7.7%***	
PC gaming	12,412	12,412	0.0%	11,973	11,973	0.0%	49,524	49,524	0.0%	49,296	49,296	0.0%	na	49,106	na
Mobile gaming	52,872	53,301	0.8%	52,762	52,487	-0.5%	207,697	211,060	1.6%	226,581	233,048	2.9%	na	255,007	na
Smartphone games	**69,699**	**70,270**	**0.8%**	**69,566**	**69,201**	**-0.5%**	**273,828**	**278,313**	**1.6%**	**299,240**	**307,862**	**2.9%**	**na**	**337,364**	**na**
yoy growth rate %	*21.6%*	*22.6%*		*18.2%*	*17.6%*		*15.4%*	*17.3%*		*9.3%*	*10.6%*		*na*	*9.6%*	
Domestic Games	**47,190**	**47,619**	**0.9%**	**43,713**	**44,157**	**1.0%**	**176,931**	**178,598**	**0.9%**	**189,024**	**191,092**	**1.1%**	**na**	**204,722**	**na**
yoy growth rate %	*10.0%*	*11.0%*		*8.2%*	*9.3%*		*7.9%*	*8.7%*		*6.8%*	*7.0%*		*na*	*7.1%*	
International Games	**18,094**	**18,094**	**0.0%**	**20,022**	**20,304**	**1.4%**	**80,289**	**82,987**	**3.4%**	**86,853**	**91,250**	**5.1%**	**na**	**99,393**	**na**
yoy growth rate %	*9.0%*	*9.0%*		*6.5%*	*8.0%*		*6.9%*	*7.4%*		*8.2%*	*10.0%*		*na*	*8.9%*	
Total community and platform	**33,868**	**32,669**	**-3.5%**	**33,798**	**32,362**	**-4.2%**	**133,404**	**129,395**	**-3.0%**	**138,992**	**136,593**	**-1.7%**	**na**	**142,957**	**na**
yoy growth rate %	***3.8%***	***0.1%***		***5.1%***	***0.6%***		***4.0%***	***1.3%***		***4.2%***	***5.6%***		***na***	***4.7%***	
Community and open platforms	18,934	18,655	-1.5%	18,841	18,562	-1.5%	74,583	73,892	-0.9%	74,537	75,061	0.7%	na	75,605	na
Non-mobile game	14,935	14,014	-6.2%	14,956	13,800	-7.7%	58,821	55,503	-5.6%	64,455	61,532	-4.5%	na	67,353	na
Online advertising	**36,525**	**37,263**	**2.0%**	**41,821**	**41,807**	**0.0%**	**168,017**	**169,374**	**0.8%**	**191,929**	**193,959**	**1.1%**	**na**	**218,283**	**na**
yoy growth rate %	***14.7%***	***17.0%***		***16.9%***	***16.9%***		***16.0%***	***16.8%***		***14.2%***	***14.5%***		***na***	***12.5%***	
Others	**60,929**	**61,336**	**0.7%**	**62,034**	**62,331**	**0.5%**	**254,896**	**257,165**	**0.9%**	**273,213**	**276,186**	**1.1%**	**na**	**296,115**	**na**
yoy growth rate %	***8.7%***	***9.5%***		***8.1%***	***8.6%***		***7.5%***	***8.3%***		***7.2%***	***7.4%***		***na***	***7.2%***	
Fintech and Business services	**58,750**	**59,574**	**1.4%**	**59,812**	**60,534**	**1.2%**	**245,057**	**249,207**	**1.7%**	**263,182**	**268,072**	**1.9%**	**na**	**287,842**	**na**
yoy growth rate %	*7.0%*	*8.5%*		*7.7%*	*9.0%*		*7.3%*	*8.6%*		*7.4%*	*7.6%*		*na*	*7.4%*	
Cloud revs	13,017	12,538	-3.7%	14,556	14,019	-3.7%	59,774	59,445	-0.6%	68,805	69,688	1.3%	na	79,668	na
yoy growth rate %	*18.5%*	*25.0%*		*17.0%*	*24.0%*		*16.5%*	*22.8%*		*15.1%*	*17.2%*		*na*	*14.3%*	
Total revenues	**196,605**	**196,981**	**0.2%**	**202,388**	**200,961**	**-0.7%**	**813,539**	**816,518**	**0.4%**	**880,011**	**889,082**	**1.0%**	**na**	**961,469**	**na**
yoy growth rate %	***9.2%***	***9.4%***		***9.7%***	***8.9%***		***8.6%***	***8.6%***		***8.2%***	***8.9%***		***na***	***8.1%***	
Gross profit	**111,464**	**110,636**	**-0.7%**	**115,894**	**114,574**	**-1.1%**	**462,893**	**461,968**	**-0.2%**	**506,624**	**509,845**	**0.6%**	**na**	**555,031**	**na**
yoy growth rate %	*10.9%*	*10.1%*		*10.4%*	*9.1%*		*10.0%*	*9.3%*		*9.4%*	*10.4%*		*na*	*8.9%*	
GPM	56.7%	56.2%		57.3%	57.0%		56.9%	56.6%		57.6%	57.3%		na	57.7%	
Non-GAAP Operating profit	**75,166**	**70,000**	**-6.9%**	**76,818**	**72,733**	**-5.3%**	**307,019**	**292,650**	**-4.7%**	**339,593**	**331,516**	**-2.4%**	**na**	**364,795**	**na**
yoy growth rate %	*8.4%*	*1.0%*		*10.9%*	*5.0%*		*10.1%*	*4.3%*		*10.6%*	*13.3%*		*na*	*10.0%*	
Non-GAAP OPM	38.2%	35.5%		38.0%	36.2%		37.7%	35.8%		38.6%	37.3%		na	37.9%	
Non-GAAP net profit	**71,065**	**67,608**	**-4.9%**	**72,602**	**69,959**	**-3.6%**	**290,413**	**281,464**	**-3.1%**	**319,666**	**315,624**	**-1.3%**	**na**	**346,716**	**na**
yoy growth rate %	*15.9%*	*10.2%*		*15.1%*	*11.0%*		*11.8%*	*8.4%*		*10.1%*	*12.1%*		*na*	*9.9%*	
Non-GAAP NM	36.1%	34.3%		35.9%	34.8%		35.7%	34.5%		36.3%	35.5%		na	36.1%	

Source: Citi Research Estimates

Maintain Buy and adjust TP to HK$787

Post estimate revision, our SOTP is raised to HK$787. Our TP implies 23.0x 2026E and ~20.5x 2027E P/E.

- **Online games –** We apply 12x P/E (unchanged) to 2027E estimated games net profit of Rmb134.1bn and yield a valuation of HK$193 per share or 24% of our target price.
- **Online advertising –** We apply 22x P/E (unchanged) to 2027E estimated ads profit of Rmb82bn and yield a valuation of HK$217 per share or 28% of target price.
- **Social network –** While we attribute the non-gaming revs (community platform revs) as overall social network revs, given the WeChat, QQ, and other Tencent apps, we apply 25x (unchanged) P/E to the estimated profit of Rmb63bn and yield a valuation of HK$188 per share or 24% of target price.
- **Fintech –** We apply 15x P/E to estimated profit of Rmb48.4bn and yield a valuation of HK$87 per share or 11% of target price.
- **Cloud/business services –** We apply 5x P/S (average of China peers) to 2027E estimated Business services revs of Rmb69.7bn and yield a valuation of HK$42 per share or 5% of target price.
- **Investment portfolio –** We apply 30% discount to equity stake in publicly listed investment portfolio and result to HK$61/share or 8% of target price.

Figure 4. SOTP valuation of Tencent

	Revenues in 2027E (Rmb mn)	Non-GAAP Profit in 2027E (Rmb mn)	PE Multiple (P/S for Cloud)	Valuation (HK$ mn)	Value Per Share (HK$)	Valuation (US$ mn)	% of implied value
Online gaming	282,344	134,113	12	1,779,388	193	224,555	24%
Online advertising	193,959	82,433	22	2,005,116	217	253,041	28%
Social Network (WeChat + QQ)	136,593	62,833	25	1,736,776	188	219,177	24%
Fintech	198,384	48,356	15	801,973	87	101,207	11%
Cloud (business services)	69,688	6,272	5	385,251	42	48,618	5%
Other business	8,114	(18,383)		-	-	-	0%
Investment Portfolio (at 30% discount)				559,814	61	71,795	8%
Total	**889,082**	**315,624**		**7,268,318**	**787**	**918,392**	**100%**

Source: Citi Research Estimates

We reiterate our Buy rating on Tencent with HK$787 TP and top-pick status.

While new AI investment is expected to be more than doubling in 2026, resulting possible slower profit growth than revs growth, we expect this to be short term and believe that over time, the increased profits from its resilient core business will offset the AI spend that enables Tencent to resume delivering profit growth faster than revs. We believe upcoming release of HY3.0 model and the new agentic AI in WeChat will enhance Tencent's positioning to ride on the "OpenClaw" moment, which has fostered a proliferation of AI agents that operating/executing through a decentralized network ecosystem similar to WeChat's Mini Program. We believe Tencent remains one of the AI plays for China.

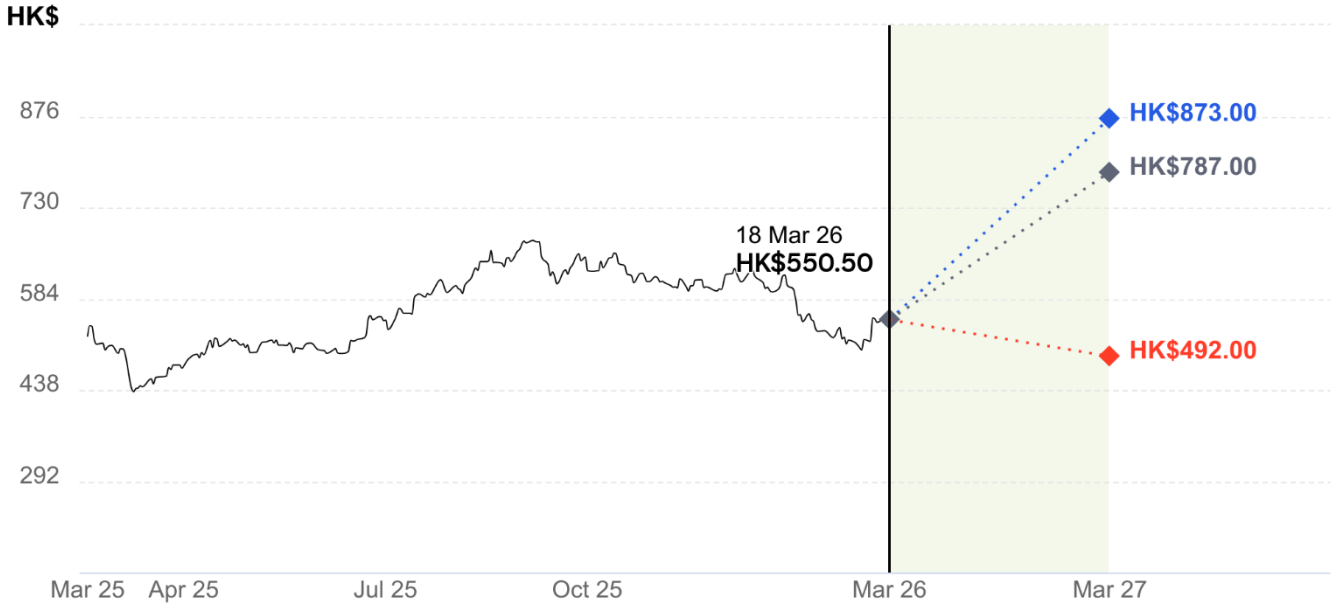
Figure 5. Income statement

Year to 31 Dec (Rmb mn)	2025	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
Revenues								
VAS	369,281	98,382	96,823	99,585	95,190	389,979	418,937	447,070
Total online games	241,600	65,713	64,461	66,770	63,640	260,584	282,344	304,113
- Domestic Games	164,300	47,619	44,157	46,138	40,683	178,598	191,092	204,722
- International Games	77,300	18,094	20,304	21,632	22,957	82,987	91,250	99,393
Total community and platform	127,681	32,669	32,362	32,815	31,549	129,395	136,593	142,957
Online advertising	144,973	37,263	41,807	42,116	48,188	169,374	193,959	218,283
Media advertising	19,052	4,390	4,488	4,348	5,410	18,636	19,073	19,521
Social and others advertising	125,921	32,874	37,318	37,768	42,778	150,738	174,886	198,762
Others	237,512	61,336	62,331	65,126	68,371	257,165	276,186	296,115
Total revenues	**751,766**	**196,981**	**200,961**	**206,827**	**211,749**	**816,518**	**889,082**	**961,469**
YoY change	*13.9%*	*9.4%*	*8.9%*	*7.2%*	*8.9%*	*8.6%*	*8.9%*	*8.1%*
Cost of revenues								
VAS	146,985	38,664	37,761	38,639	38,076	153,140	162,291	172,505
Online advertising	61,584	16,023	16,305	16,846	18,601	67,775	76,277	85,863
Others	120,604	31,658	32,322	33,818	35,837	133,635	140,669	148,070
Total cost of revenues	329,173	86,345	86,387	89,304	92,514	354,550	379,237	406,438
Gross profit	**422,593**	**110,636**	**114,574**	**117,524**	**119,235**	**461,968**	**509,845**	**555,031**
Gross margin	*56.2%*	*56.2%*	*57.0%*	*56.8%*	*56.3%*	*56.6%*	*57.3%*	*57.7%*
Other operating exp/(income)	3,177	(1,500)	(1,500)	(1,500)	(1,500)	(6,000)	(6,000)	(6,000)
Selling and marketing	41,727	13,395	13,062	13,030	13,340	52,827	50,217	50,245
General and administration	136,127	37,623	39,187	40,331	41,291	158,433	171,822	184,849
Total operating expenses	181,031	49,518	50,750	51,861	53,131	205,261	216,039	229,094
Operating profit	**241,562**	**61,118**	**63,824**	**65,662**	**66,104**	**256,708**	**293,806**	**325,936**
Operating margin	*32.1%*	*31.0%*	*31.8%*	*31.7%*	*31.2%*	*31.4%*	*33.0%*	*33.9%*
Non-GAAP operating profit	**280,656**	**70,000**	**72,733**	**74,702**	**75,215**	**292,650**	**331,516**	**364,795**
Non-GAAP operating margin	*37.3%*	*35.5%*	*36.2%*	*36.1%*	*35.5%*	*35.8%*	*37.3%*	*37.9%*
Finance income, net	(15,130)	(3,473)	(3,473)	(3,473)	(3,473)	(13,892)	(13,492)	(13,092)
Share of loss of jointly controlled entity	23,740	6,982	6,882	6,972	6,962	27,798	28,318	28,838
Share of losses of associates	-	-	-	-	-	-	-	-
Profit before tax	277,249	72,113	74,917	76,927	77,572	301,529	341,639	378,760
Income tax expense	(47,448)	(14,423)	(14,983)	(15,385)	(15,514)	(60,306)	(68,328)	(75,752)
Minority interest	(4,959)	(819)	(814)	(804)	(794)	(3,231)	(3,091)	(2,951)
Net income	**224,842**	**56,871**	**59,120**	**60,737**	**61,264**	**237,992**	**270,220**	**300,057**
Net margin	*29.9%*	*28.9%*	*29.4%*	*29.4%*	*28.9%*	*29.1%*	*30.4%*	*31.2%*
Diluted EPS (RMB)	24.15	6.16	6.40	6.58	6.63	25.77	29.27	32.51
Diluted EPS (HKD)	27.11	6.91	7.19	7.38	7.45	28.93	32.85	36.49
Non-GAAP net income	**259,626**	**67,608**	**69,959**	**71,646**	**72,250**	**281,464**	**315,624**	**346,716**
Non-GAAP Net margin	*34.5%*	*34.3%*	*34.8%*	*34.6%*	*34.1%*	*34.5%*	*35.5%*	*36.1%*
Non-GAAP diluted EPS (RMB)	**27.88**	**7.32**	**7.58**	**7.76**	**7.82**	**30.48**	**34.19**	**37.56**
Non-GAAP diluted EPS (HK$)	**31.29**	**8.22**	**8.50**	**8.71**	**8.78**	**34.21**	**38.37**	**42.16**
Diluted shares average (m)	9,244	9,236	9,235	9,235	9,234	9,235	9,233	9,231

Source: Citi Research Estimates

Bull/Bear: Tencent Holdings (0700.HK)

HK$ 873.00	HK$ 787.00	HK$ 492.00
▲ 59% Upside	▲ 43% Upside	▼ 11% Downside



Spread 69pp
Current Price and expected returns (upside/downside) as of 18 Mar 2026

BULL Assumptions

- Online gaming multiple of 15x.
- Online advertising multiple of 25x.
- Social network multiple of 26x.

BASE Assumptions

- Online gaming multiple of 12x.
- Online advertising multiple of 22x.
- Social network multiple of 25x.

BEAR Assumptions

- Online gaming multiple of 8x.
- Online advertising multiple of 10x.
- Social network multiple of 10x.

Tencent Holdings

Company description

Founded in 1998, Tencent is a leading Internet company in China engaged in multiple business lines including online games, social networking services, online advertising, and mobile value-added services. It has extended its leadership in PC over to mobile Internet with Mobile QQ and Weixin/WeChat. The company was listed on the main board of Hong Kong Stock Exchange in June 2004.

Investment strategy

We rate Tencent shares as Buy. We are positive on Tencent's overall strategic direction based on its mobile open platform initiatives that positions it to capture the significant opportunities in China's mobile Internet growth over the next few years. Leveraging off its sticky, integrated mobile user platform on WeChat, Tencent should be able to drive earnings growth by monetizing its strengths in mobile advertising, mobile gaming, and mobile payments.

Valuation

Our target price of HK$787 is based on a SOTP approach, which implies 23.0x 2026E and ~20.5x 2027E P/E. Our SOTP is based on the following: 1) Online games – We apply a 12x P/E to our 2027 estimated games net profit of Rmb134bn and yield a valuation of HK$193 per share, or 24% of our target price; 2) Online advertising – We apply a 22x P/E to our 2027 estimated ads profit of Rmb82bn which yields a valuation of HK$217 per share, or 28% of our target price; 3) Social network – While we attribute the non-gaming revs (community platform revs) as overall social network revs, given the WeChat, QQ, and other Tencent apps, we apply a 25x P/E to the estimated profit of Rmb63bn and yield a valuation of HK$188 per share, or 24% of our target price; 4) Fintech – We apply a 15x P/E to our estimated profit of Rmb48bn and yield a valuation of HK$87 per share, or 11% of our target price; 5) Cloud/business services – We apply a 5x P/S (average of China peers) to our 2027 estimated Business services revs of Rmb70bn, which yields a valuation of HK$42 per share, or 5% of our target price; 6) Investment portfolio – We apply a 30% discount to the equity stake in the publicly listed investment portfolio which implies HK$61/share.

Risks

Downside risks that could prevent the Tencent shares from reaching our target price include: i) a faster-than-expected revenue slowdown in core PC games; ii) unsuccessful launches of new mobile games; iii) a decline of Honor of Kings ranking and momentum; iv) a further slowdown in China's economy, which might negatively affect advertising demand; and v) a change in the regulatory environment.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Tencent Holdings (0700.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA

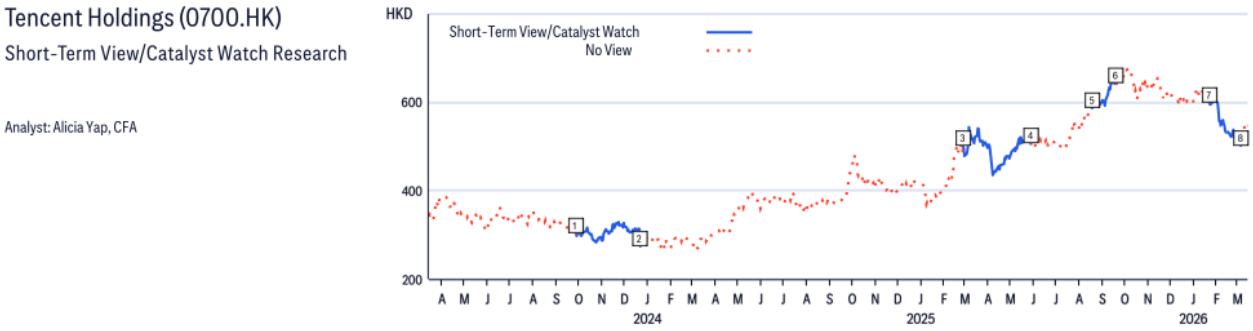
	Date	Rating	Target Price	Closing Price
1	22-Mar-23 16:56:11	1	*520.00	347.20
2	19-Apr-23 15:56:27	1	*503.00	357.20
3	17-May-23 17:32:20	1	*506.00	342.80
4	01-Aug-23 12:44:09	1	*491.00	354.00
5	16-Aug-23 17:24:35	1	*496.00	328.80
6	15-Nov-23 18:02:07	1	*497.00	322.60
7	25-Jan-24 16:53:37	1	*455.00	290.80

	Date	Rating	Target Price	Closing Price
8	20-Mar-24 17:30:22	1	*459.00	288.80
9	15-May-24 11:33:19	1	*515.00	381.80
10	14-Aug-24 16:25:06	1	*527.00	373.80
11	29-Sep-24 20:19:06	1	*535.00	437.80
12	10-Oct-24 13:59:11	1	*573.00	438.80
13	13-Jan-25 15:52:08	1	*563.00	366.00
14	26-Feb-25 16:59:25	1	*648.00	501.50

	Date	Rating	Target Price	Closing Price
15	19-Mar-25 19:00:37	1	*681.00	540.00
16	28-Apr-25 16:14:07	1	*670.00	478.20
17	14-May-25 17:10:11	1	*695.00	521.00
18	28-Jul-25 17:17:28	1	*699.00	555.50
19	13-Aug-25 17:51:56	1	*735.00	586.00
20	13-Nov-25 18:35:44	1	*751.00	656.00
21	22-Jan-26 17:55:08	1	*783.00	597.50

*Indicates Change

Rating/target price changes above reflect Eastern Time



	Date	Action	Expected Direction	Duration	Closing Price
1	27-Sep-23 10:00:45	Add CW	Upside	90 Days	302.00
2	26-Dec-23 22:12:21	Remove CW	Upside	90 Days	274.00
3	26-Feb-25 11:59:25	Add CW	Upside	90 Days	501.50
4	28-May-25 00:26:38	Remove CW	Upside	90 Days	506.00
5	18-Aug-25 01:44:53	Add STV	Upside	30 Days	587.00
6	18-Sep-25 00:18:16	Remove STV	Upside	30 Days	642.00
7	22-Jan-26 12:55:08	Add CW	Upside	90 Days	597.50
8	05-Mar-26 02:14:38	Remove CW	Upside	90 Days	502.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of Tencent Holdings Ltd on at least one occasion since 1 Jan 2025.

Citigroup Global Markets Inc. or its affiliates has received compensation for investment banking services provided within the past 12 months from Tencent Holdings.

Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from Tencent Holdings.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Tencent Holdings in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as investment banking client(s): Tencent Holdings.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Tencent Holdings.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Tencent Holdings.

Citigroup Global Markets Inc. and/or its affiliates has a significant financial interest in relation to Tencent Holdings. (For an explanation of the determination of significant financial interest, please refer to the policy for managing conflicts of interest which can be found at www.citiVelocity.com.)

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For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

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